

This two-page cheat sheet is designed to help you navigate the complexities of homeowners insurance, identify hidden gaps, and ensure your most valuable asset is protected according to the standards found in the sources.

The Foundation of Your Policy

1. Dwelling vs. Market Value: The "Apples to Oranges" Comparison

One of the most common misconceptions is that you should insure your home for its purchase price or market value.

- **Dwelling Value (Replacement Cost):** This is the actual cost to rebuild your home from scratch using materials of similar kind and quality,. It excludes the value of your land,.
- **Market Value:** This is what a buyer is willing to pay, influenced by location, school districts, and real estate demand.
- **The Surprise:** Market value and rebuilding costs rarely align,. If you insure for market value, you may be **severely underinsured** if construction labor and material costs spike after a local disaster,.

2. The 6 Sections of Every Standard Policy

Standard homeowners policies (like the popular **HO-3 form**) are "package policies" divided into these six specific coverages,,:

1. **Coverage A (Dwelling):** The physical house and attached structures like decks or garages,.
 2. **Coverage B (Other Structures):** Detached structures like fences, sheds, and gazebos—typically limited to **10%** of your dwelling limit,.
 3. **Coverage C (Personal Property):** Your belongings (furniture, clothes, electronics) anywhere in the world—usually **50% to 70%** of your dwelling limit,.
 4. **Coverage D (Loss of Use):** Pays for additional living expenses (hotels, meals) if a covered disaster makes your home uninhabitable,.
 5. **Coverage E (Personal Liability):** Protects you if you are sued for bodily injury or property damage you cause to others—this is your "don't sue me" coverage,.
 6. **Coverage F (Medical Payments):** No-fault coverage for minor medical bills if a guest is injured on your property, regardless of who is at fault,.
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Closing the Gaps & Renewal

3. Endorsements Most Agents Skip (The Hidden Gaps)

Standard policies have "fine print" exclusions that can lead to out-of-pocket disasters. These common endorsements fill those holes:

- **Ordinance or Law:** Standard policies may not pay for required upgrades to meet **current building codes** during a rebuild; this endorsement covers those extra costs,.
- **Sewer Backup / Sump Pump Overflow:** Most standard policies exclude damage from water backing up through drains; you usually need a specific endorsement for this,.
- **Extended/Guaranteed Replacement Cost:** If a catastrophe causes a "demand surge" in labor and material prices, this allows your payout to exceed your policy limit (often by 25% or more),.
- **Scheduled Personal Property:** Standard policies have low sub-limits (often **\$1,000–\$2,500**) for theft of jewelry, firearms, or silverware,. High-value items should be "scheduled" separately for full protection,.
- **Home Business Endorsement:** Standard policies offer very limited coverage (often only **\$2,500**) for business equipment used at home,.

4. Liability Limits & The Umbrella Safety Net

- **Standard Limits:** Most policies default to **\$100,000** in liability coverage,.
- **When an Umbrella Makes Sense:** If your total assets (home equity, savings, and investments) exceed your policy's liability limit, you are at risk,.
- **The Benefit:** A **Personal Umbrella Policy** provides \$1 million or more in excess liability coverage and covers broader risks like libel or slander that standard policies often exclude,.

5. Renewal Review Checklist

- **[] Update Your Home Inventory:** Take a fresh video walkthrough of every room and closet. Store the footage online,.
- **[] Check for "ACV" Roof Changes:** Many insurers are switching older roofs (over 10–15 years) to **Actual Cash Value** (depreciated) rather than Replacement Cost. Verify this on your renewal,.
- **[] Report Major Improvements:** If you remodeled a kitchen or added a deck, your rebuilding cost has increased. Tell your agent to avoid being underinsured,.
- **[] Verify Discounts:** Ensure you are getting credit for smart home devices (leak detectors, ring cameras), security systems, or being a non-smoker,.
- **[] Check Rebuilding Inflation:** Ask your agent to run a new **replacement cost estimator** to ensure your Coverage A limit matches today's local construction costs,.

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